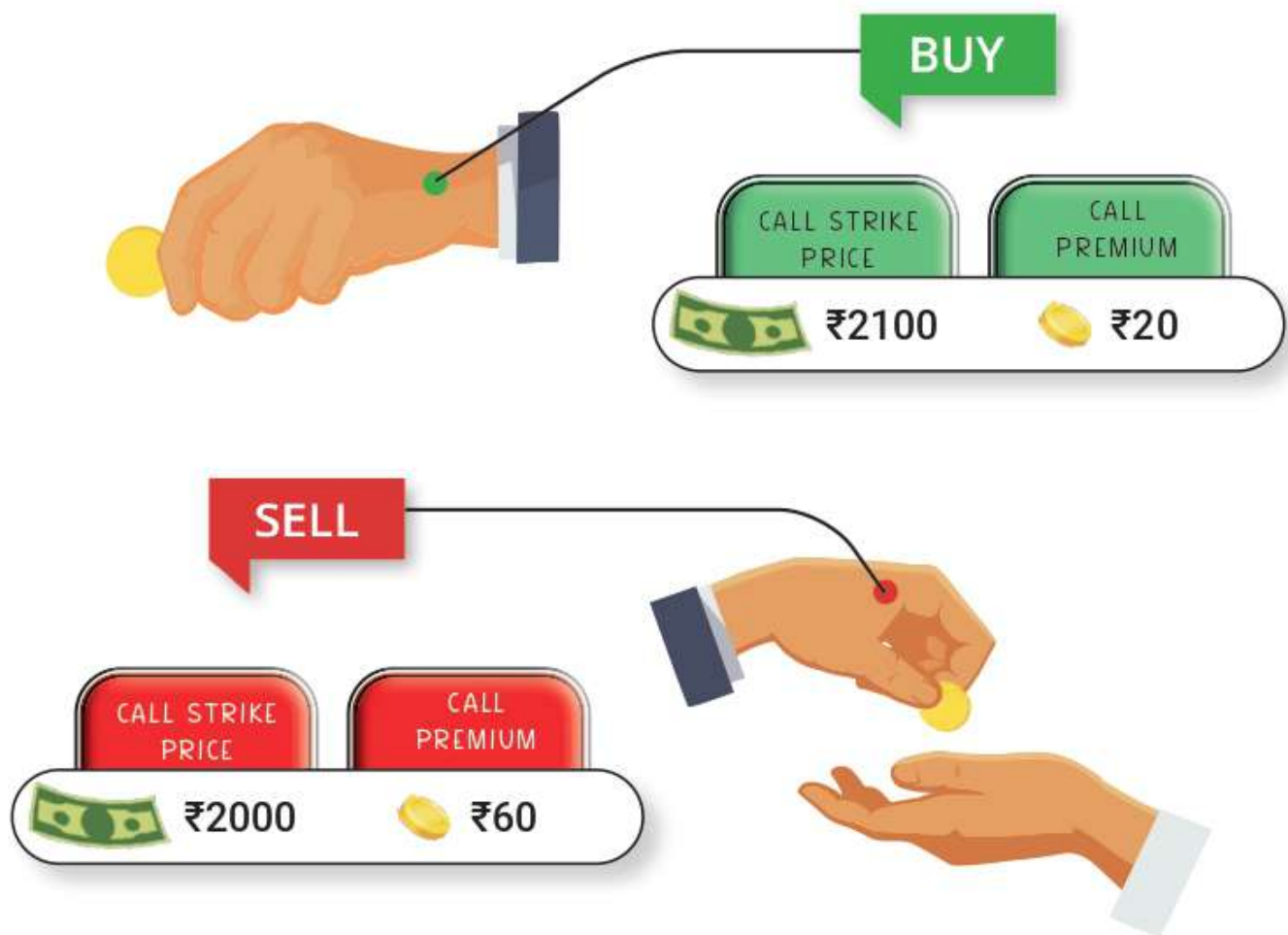


For instance, we buy a call option at ₹2100 at a premium of ₹20 and we sell another call option at ₹2000 for a premium of ₹60.



Netting the two positions,

PROFIT FROM CREATING THE STRATEGY = ₹60 – ₹20 = ₹40

THIS IS OUR NET PREMIUM RECEIVED IN THIS STRATEGY.

MAXIMUM PROFIT = Net Premium
= ₹40

BREAK EVEN POINT = Lower strike price + Net premium cost
= ₹2000 + ₹40 = ₹2040

MAXIMUM LOSS = Difference in Strike prices – Net premium
= (₹2100 – ₹2000) – ₹40 = ₹60